

PORTER'S FIVE FORCES

meesho game plan

India's value e-commerce marketplace, broken down level by level
— who's really trying to beat it.

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SBG Assignment



Level 1 — Meet the Player

Meesho is India's **zero-commission, ultra-low-price marketplace**, built to win in Tier-2 and Tier-3 India. It began as a reseller app shared on WhatsApp and has grown into a full marketplace going head-to-head with Flipkart, Amazon, and Shopsy for the country's most price-conscious shoppers.

"jo dikhta hai, wahi bikta hai" — pricing beats everything else here

Players in the arena

- Meesho
- Flipkart / Shopsy
- Amazon India
- Myntra, JioMart

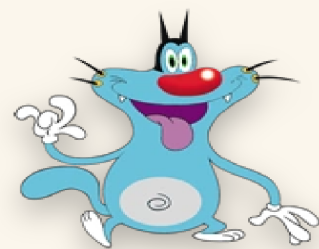
How it earns

- 0% seller commission
- Ads & logistics fees
- Reseller & social-share network

Level 2 — The Five Forces, at a Glance



Rivalry aur Buyer Power sabse bade dushman — baaki teen manageable hain!



Oggy walks you through it: five forces orbit meesho — the redder the badge, the harder the fight.

120M+

Monthly Active Users

\$5B+

Annual GMV Run-rate

0%

Seller Commission

Tier 2/3

Core Focus

Market context: Flipkart leads with roughly 48% share, Amazon India follows at 30–35%. Meesho owns the fast-growing **value & Tier-2/3 segment**, going head-to-head with Flipkart's own copycat, **Shopsy**.



Level 3 — Boss Fights, One by One

1. Threat of New Entrants

MEDIUM

- Low-code storefronts & ONDC make listing easy
- Logistics, warehousing & reseller-network scale stay capital-heavy
- Meesho's Tier-2/3 trust is hard to copy fast
- Niche players can still enter one city or category at a time

Verdict: Easy to start, tough to scale nationally.

2. Supplier Power

MEDIUM

- Millions of small, fragmented sellers list on Meesho
- Individually, sellers hold little leverage
- Top-rated sellers gain some pull
- Sellers multi-home across Flipkart, Amazon, Shopsy too

Verdict: Fragmentation keeps this force in check.

3. Buyer Power

HIGH

- Price-sensitive buyers, near-zero switching cost
- Easy cross-app comparison (Meesho vs Shopsy vs Amazon)
- Ratings & delivery speed sway the decision
- Discounts and coupons drive short-term loyalty

Verdict: *"sasta aur accha" is the whole game here.*

4. Threat of Substitutes

HIGH

- Local kirana stores stay the default for many buyers
- Shopsy mirrors Meesho's own value-commerce model
- Informal WhatsApp/Instagram resellers offer overlap
- Quick-commerce apps eat into small daily-use items

Verdict: Many cheap alternatives cap pricing power.

5. Industry Rivalry

VERY HIGH

- Flipkart (incl. Shopsy) and Amazon chase the same buyer
- Constant battle on price, delivery speed & seller perks
- New 2025–26 monetisation narrows Meesho's cost edge
- Category overlap in fashion & home essentials is near-total

Verdict: The toughest boss on the map.

Combo Attack: Buyer Power + Rivalry

More competing apps → buyers get more choice → switching gets effortless → Meesho has to keep earning the sale, every single time.

Level 4 — Scoreboard

Force	Intensity	Key Driver	Strategic Response
Threat of New Entrants	MEDIUM	Tech is easy, scaling logistics & trust isn't	Deepen Tier-2/3 seller network early
Supplier Power	MEDIUM	Millions of fragmented small sellers	Offer seller tools, credit & fulfilment support
Buyer Power	HIGH	Zero switching cost, high price sensitivity	Personalised deals, loyalty perks, faster delivery
Threat of Substitutes	HIGH	Kiranas, Shopsy, informal resellers	Win on assortment, trust & social commerce
Industry Rivalry	VERY HIGH	Flipkart/Shopsy & Amazon, same buyer	Own the value story; invest in speed & UX

Level 5 — Final Boss Cleared



Meesho plays a **high-volume, low-margin** game. Its toughest opponents are **buyer power** and **industry rivalry** — Flipkart's Shopsy and Amazon both hunt the same Tier-2/3, value-first customer with near-identical moves. Fragmented suppliers and a moderate entry barrier buy some breathing room, but the real edge comes from **trust, delivery speed, and Meesho's social-commerce roots**, not price alone.

"bharosa jeetne wala hi lambi race jeetega"

Level 6 — Power-Ups to Unlock

1

Trust & Quality First

Tighter seller vetting and easy returns so "sasta" never means "bharosa nahi."

2

Own Social Commerce

Double down on WhatsApp/video discovery — the roots Shopsy is now copying.

3

Faster Delivery

Close the speed gap with Flipkart/Amazon in Tier-2/3, without losing the price edge.

4

Back Top Sellers

Credit, analytics & fulfilment tools so the best sellers stay loyal to Meesho.



Sources: Company disclosures & industry press (Meesho, Flipkart, Similarweb, Semrush, sector market-share reports), 2025–2026.